

FOMC Preview: Powell's Job Not Getting Any Easier

Special Commentary

Economist(s)



[Tom Porcelli](#)



[Sarah House](#)

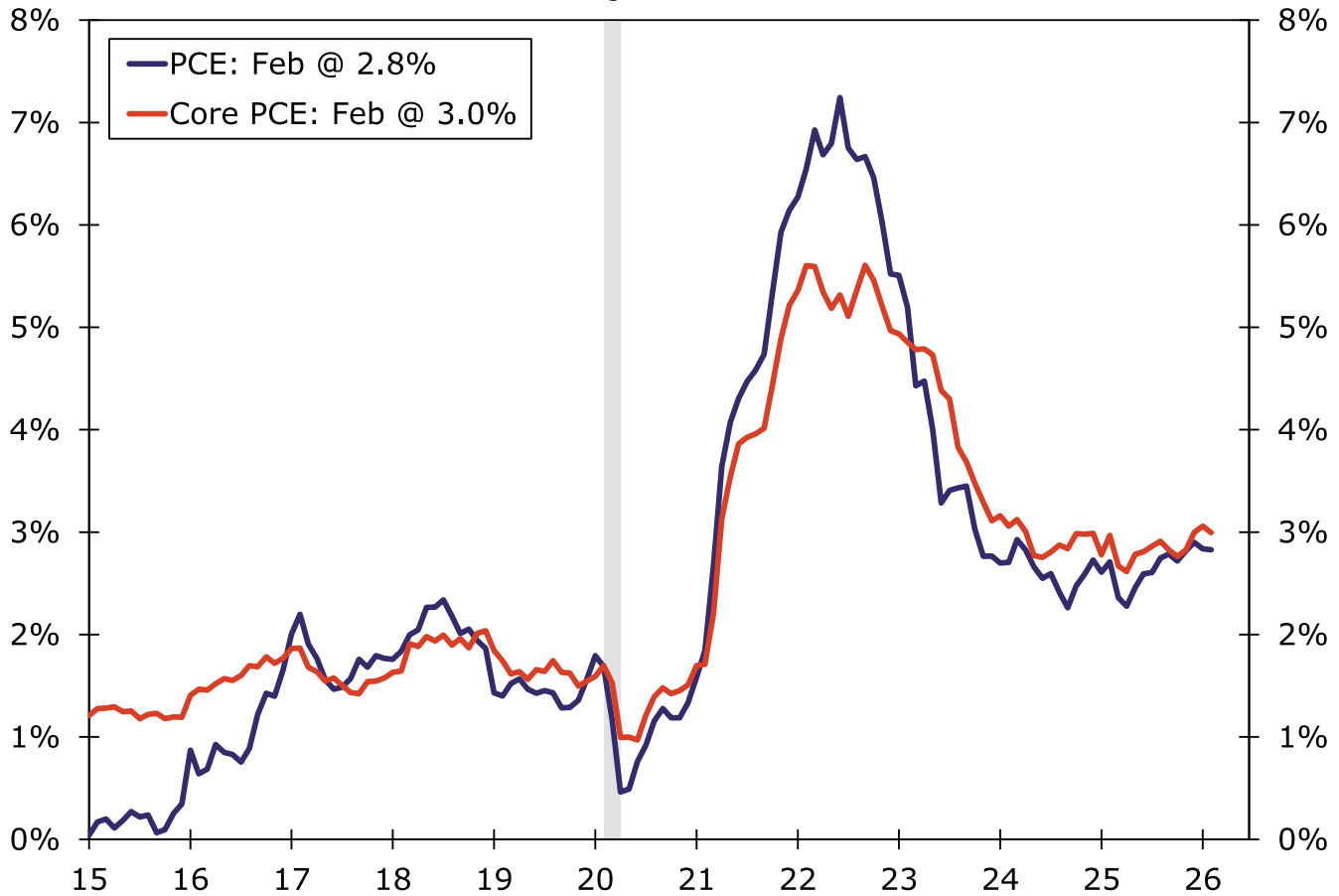


[Michael Pugliese](#)

- **Stagflation risks have risen since the FOMC last met in January.** Higher inflation and a weaker labor market is the FOMC's worst nightmare as it puts the dual mandate in tension. How will Chair Powell and company balance these risks?
- **We expect the FOMC to hold rates steady and maintain maximum flexibility.** It goes without saying the conflict in Iran has a highly uncertain outlook, with oil prices gyrating wildly in response to the uncertainty. Looking past the geopolitical whirlwind, key data from the monthly jobs report whipsawed over the inter-meeting period, with strong job gains and lower unemployment in January offset by a train wreck of a February jobs report. On net, labor market conditions appear little changed: lukewarm and still muddling along.
- **There has been no further progress toward 2% inflation over the inter-meeting period.** Recent data point to PCE inflation remaining stuck right around 3% ([chart](#)). The energy shock will strengthen headline inflation and have a small pass-through to core but also crimp economic growth.
- **Fed speak has been mixed.** Governors Miran and Waller are likely unconvinced that the labor market is stabilizing and probably want to "look through" the supply-side oil shock—a view for which we have plenty of sympathy. But, with inflation entering its sixth year and counting above 2%, there are signs some of the Committee's hawks are digging in amid yet another inflationary shock.
- **The post-meeting statement probably won't change dramatically.** We expect it to highlight additional uncertainty in the outlook due to the Iran conflict. We also would not be surprised if the language around "some signs of stabilization" in unemployment is tweaked to be a bit more pessimistic.
- **The SEP will shift in a stagflationary direction:** We expect the FOMC's inflation projections to be revised up, in part due to higher energy prices and in part due to recent strength in some core PCE components. The slightly stickier picture of inflation is likely to carry through to 2027 and keep the anticipated return to 2.0% two years away. GDP projections for 2026 are likely to be lower but still consistent with above-trend growth. Median estimates for the unemployment rate are likely to edge up as the low hire/low fire environment drags on. Our point estimates for the March SEP can be found in the [table](#) on the next page.
- **"First, do no harm" keeps median dots unchanged.** It would take two dots moving down to drop the 2026 median from 3.375% to 3.125% and three moving higher to shift the median projection up to 3.625%. With estimates for inflation drifting up but growth projections shifting down, we think the net impact will be no change to the median dots. From a balance of risks standpoint, our hearts lie with a downside surprise in the dots. Yet our heads think it will be very difficult for the dots to surprise in the dovish direction as inflation worries escalate, even if it is a supply shock that monetary policy is poorly equipped to solve. Our own forecast remains for two 25 bps rate cuts in June and September.
- **We expect the Fed to slow reserve management purchases to a \$20-\$25 billion/month pace.** This would be a slowdown from the current \$40 b/mo pace and has been well-telegraphed by Fed officials. The downshift is in response to funding markets returning to a more stable equilibrium ([chart](#)). Since the Fed has been buying exclusively Treasury bills, this should not have a material impact on longer-term interest rates.

Inflation Still Stuck Around 3%

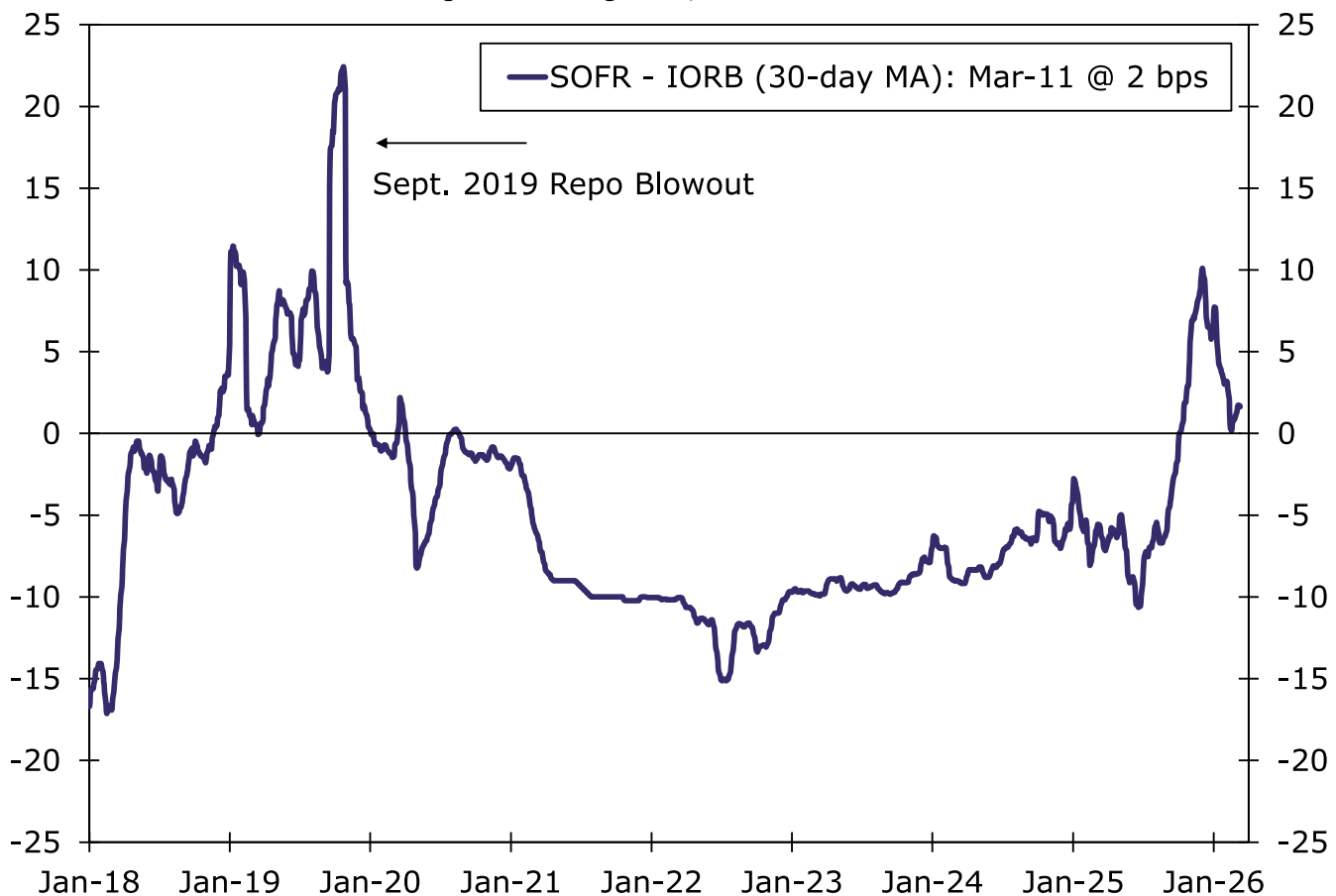
Year-over-Year Percent Change; WF Estimates for PCE in Jan-Feb



Source: U.S. Department of Commerce and Wells Fargo Economics

SOFR / IORB Spread

SOFR=Secured Overnight Financing Rate; IORB=Interest on Reserve Balances



Wells Fargo's Expectations for the SEP					
Median Projection in the FOMC'S Summary of Economic Projections					
		2026	2027	2028	Longer run
Change in Real GDP	March Projection	2.1	2.0	1.9	1.8
	December Actual	2.3	2.0	1.9	1.8
Unemployment Rate	March Projection	4.5	4.3	4.2	4.2
	December Actual	4.4	4.2	4.2	4.2
PCE Inflation	March Projection	2.9	2.2	2.0	2.0
	December Actual	2.4	2.1	2.0	2.0
Core PCE Inflation	March Projection	2.7	2.2	2.0	—
	December Actual	2.6	2.1	2.0	—
Federal Funds Rate	March Projection	3.375	3.125	3.125	3.000
	December Actual	3.375	3.125	3.125	3.000

Forecast as of: March 12, 2026

Source: Federal Reserve Board and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 3/12/2026 unless otherwise stated. 3/12/2026 13:38:45 EDT.

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Bank, N.A. ("WFBNA"). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. WFBNA distributes this report directly and through affiliates including, but not limited to, Wells Fargo Securities, LLC, Wells Fargo & Company, Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our public website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by WFBNA. WFBNA does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of WFBNA.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by WFBNA to be reliable, but has not been independently verified by WFBNA, may not be current, and WFBNA has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of WFBNA and may differ from the views and opinions of other departments or divisions of WFBNA and its affiliates. WFBNA is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither WFBNA nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. WFBNA is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

You are permitted to store, display, analyze, modify, reformat, copy, duplicate and reproduce this report and the information contained within it for your own use and for no other purpose. Without the prior written consent of WFBNA, no part of this report may be copied, duplicated or reproduced in any form by any other means. In addition, this report and its contents may not be redistributed or transmitted to any other party in whole or in part, directly or indirectly, including by means of any AI Technologies (defined below) through which this report or any portion thereof may be accessible by any third-party. "AI Technologies" means any deep learning, machine learning, and other artificial intelligence technologies, including without limitation any and all (a) proprietary algorithms, software, or systems that make use of or employ neural networks, statistical learning algorithms (such as linear and

logistic regression, support vector machines, random forests or k-means clustering) or reinforcement learning, or curated data sets accessible by any of the foregoing or (b) proprietary embodied artificial intelligence and related hardware or equipment. In addition, certain text, images, graphics, screenshots and audio or video clips included in this report are protected by copyright law and owned by WFBNA, its affiliates or one or more third parties (collectively, "Protected Content"). Protected Content is made available to clients by Wells Fargo under license or otherwise in accordance with applicable law. Any use or publication of Protected Content included in this report for purposes other than fair use requires permission from WFBNA or, in the case of content attributed to any third party, the third-party copyright owner. You may not alter, obscure, or remove any copyright, trademark or any other notices attached to or contained within this report. All rights not expressly granted herein are reserved by WFBNA or the third-party providers from whom WFBNA has obtained the applicable information. © 2026 Wells Fargo Bank, N.A.

Important Information for Non-U.S. Recipients

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority ("FCA"). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the "Act"), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU ("MiFID2"). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. ("WFSE"). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE
--